



Quarterly Report
of the Dino Polska S.A. Group
for Q1 2021



Unofficial translation. Only the Polish version is binding.

Dino Polska Spółka Akcyjna ("Dino", "Company", "parent company")

Joint stock company with its registered office in Krotoszyn and its address at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273. Taxpayer Identification Number [NIP]: 6211766191, Statistical Number [REGON]: 300820828. The Company's share capital as at 31 March 2021 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each.

This document ("Q1 2021 Report", "Report") comprises the condensed quarterly consolidated financial statements (unaudited) of the Dino Polska S.A. Group ("Group", "Dino Group") for Q1 2021 ("Financial Statements"), the Company's condensed financial information and additional information required by the pertinent legal regulations.

Unless specified otherwise, the data in this Report comes from Dino. This document was prepared on 6 May 2021 ("Report Date").

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1. DINO GROUP'S FINANCIAL HIGHLIGHTS

	PLN 000s		EUR 000s*	
	01.01.2021- 31.03.2021	01.01.2020- 31.03.2020	01.01.2021- 31.03.2021	01.01.2020- 31.03.2020
Sales revenue	2,760,700	2,220,384	603,814	505,057
Operating profit	187,765	143,636	41,068	32,672
Profit before tax	177,336	128,288	38,787	29,181
Net profit	144,835	103,913	31,678	23,636
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	1.48	1.06	0.32	0.24
Cash flow from operating activities	193,095	19,746	42,233	4,492
Cash flow from investing activities	(366,849)	(228,739)	(80,236)	(52,030)
Cash flow from financing activities	(23,540)	170,013	(5,149)	38,672
Net change in cash and cash equivalents	(197,294)	(38,980)	(43,152)	(8,866)

* In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

- average NBP exchange rate for Q1 2021:	4.5721
- average NBP exchange rate for Q1 2020:	4.3963

	PLN 000s		EUR 000s*	
	31.03.2021	31.12.2020	31.03.2021	31.12.2020
Total assets	5,641,066	5,570,510	1,210,451	1,207,097
Total non-current assets	4,301,410	4,053,812	922,990	878,437
Total current assets	1,339,656	1,516,698	287,461	328,660
Equity	2,411,398	2,266,563	517,434	491,151
Share capital	9,804	9,804	2,104	2,124
Non-current liabilities	1,229,562	1,223,256	263,838	265,072
Current liabilities	2,000,106	2,080,691	429,180	450,873

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 31 March 2021:	4.6603
- NBP's average exchange rate as at 31 December 2020:	4.6148

2. MANAGEMENT BOARD ACTIVITY REPORT

2.1. Operations of the Dino Group

2.1.1. Business profile

Dino is a Polish network consisting of medium-sized grocery supermarkets located close to clients' places of residence. The Company is one of the fastest growing retail grocery networks in Poland measured by the number of stores and revenues.

As at 31 March 2021, the Dino network consisted of 1,532 stores with a total selling area of 597,089 square meters. Dino Polska has many years of experience and a proven capacity to open new stores, enabling it to grow its number of stores by 732, or 91.5%, in the period of three years up to 31 March 2021. Its geographic expansion has been accompanied by significant like for like (LFL) revenue growth in its current store network, which in Q1 2021 stood at 7.0% compared to the corresponding period of 2020. Dino Polska continues to develop its network rapidly, consistently looking for sites for its new stores.

Dino Polska's operating strategy is based on a standardized store design, equipped with parking places for its customers and supplied with fresh products every day of the week. Most stores have a sales floor area of approx. 400 square meters. Each store offers its customers approx. 5,000 stock keeping units (SKUs), for the most part well-known branded products and fresh products as well as a meat counter manned by store staff.

Dino Polska's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on five distribution centers and the transportation network managed by Dino. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They also enable Dino to purchase merchandise on favorable terms that should improve steadily as the sales network continues to expand. These drivers, combined with operational leverage and store network maturation, consistently enhance the Dino Polska Group's profitability.

Dino's strategy assumes further business development by focusing on three key areas:

- continuation of rapid organic growth in the number of stores – the Management Board of Dino Polska intends to maintain the high pace of growth of the selling area in Dino stores in subsequent years. The Management Board of Dino Polska plans to continue to leverage the network's ability to grow organically in its current form by doing the following: (i) continuing to drive up its store density in its current areas of operation and (ii) steadily expanding in new regions, which ultimately should have a similar saturation of Dino stores to other regions.
- continuing to grow LFL sales revenues in the current store network – to continue growing LFL sales revenues in the existing store network, Dino Polska will take actions to augment customer traffic in Dino stores and the basket value per customer.
- consistent improvement of profitability – in past years the Dino Group generated sustainable growth in its EBITDA margin. The aim is to continue to improve profitability by expanding the scale of operations and thanks to the favorable business model and strategic initiatives undertaken by Dino Polska.

2.1.2. Recap of the Dino Group's operations in Q1 2021

In Q1 2021, the Dino Group's revenue totaled PLN 2,760.7 million and was PLN 540.3 million, i.e. 24.3% higher than in Q1 2020. Concurrently, the cost of sales rose 22.7% to PLN 2,056.3 million.

The table below presents selected line items from the consolidated statement of profit or loss

(PLN 000s)	Q1 2021	Q1 2020	change
Sales revenue	2,760,700	2,220,384	24.3%
Cost of sales	(2,056,288)	(1,675,574)	22.7%
Gross profit on sales	704,412	544,810	29.3%
Other operating income	1,758	1,901	-7.5%
Sales and marketing expenses	(490,665)	(377,990)	29.8%
General administration expenses	(25,309)	(21,892)	15.6%
Other operating expenses	(2,431)	(3,193)	-23.9%
Operating profit	187,765	143,636	30.7%
Financial income	193	597	-67.7%
Financial expenses	(10,622)	(15,945)	-33.4%
Profit before tax	177,336	128,288	38.2%
Income tax	(32,501)	(24,375)	33.3%
Net profit	144,835	103,913	39.4%

In Q1 2021 profit measured by EBITDA grew year on year by 27.7% to PLN 242.8 million. The EBITDA margin was 8.8% versus the 8.6% margin posted one year ago.

The following table presents EBITDA

(PLN 000s)	Q1 2021	Q1 2020	change
Net profit	144,835	103,913	39.4%
Income tax	32,501	24,375	33.3%
Negative result on financing activity	10,429	15,348	-32.0%
EBIT	187,765	143,636	30.7%
EBIT margin	6.8%	6.5%	-
Depreciation and amortization	55,017	46,506	18.3%
EBITDA	242,782	190,142	27.7%
EBITDA margin	8.8%	8.6%	-

Sales revenue

Significant top line improvement is the outcome of Dino's store network roll-out to open new stores and growing revenues in the current store network (like for like, LfL)¹. LfL sales growth in Q1 2021 was 7.0%, following 20.3% growth in the corresponding period of 2020.

The following table presents a comparison of the inflation trends in Poland and top line LFL growth in Dino's current store network.

%	Q1 2021	Q1 2020	2020	2019	2018
Inflation (deflation)	2.7	4.5	3.4	2.3	1.6
Food price inflation	0.6	7.7	4.7	4.9	2.6
Dino's LFL	7.0	20.3	12.6	11.6	11.6

Fresh products, including meat, cold cuts and poultry accounted for 38.7% of the Group's sales in Q1 2021.

¹ Stores are included in the calculation of LfL revenues starting from the 13th full month of their existence.

The table below shows the structure of sales revenues by product in individual periods.

%	Q1 2021	Q1 2020
Fresh products	38.7	40.2
Other groceries*	48.5	47.0
Non-grocery products	12.8	12.8

* in particular: children's food, breakfast products, ready to eat meals, beverages, candies, snacks, frozen food, processed goods, oils, grain and bulk products, condiments and alcohol and cigarettes

Dino store network roll-out

In Q1 2021 Dino Polska S.A. opened 59 stores. At the end of March 2021, the Dino network consisted of 1,532 stores with a total selling area of 597.1 thousand square meters (+24.9% yoy). In Q1 last year Dino Polska finished the investment process to launch 39 stores, with 16 being opened, while the opening of 23 stores was pushed back until Q2 2020 in conjunction with the outbreak of the pandemic.

The following table presents information on the Dino Group's number of stores as at specified dates.

	Number of stores as at 31 March		Number of stores as at 31 December		
	2021	2020	2020	2019	2018
Number of new store openings in the quarter/year	59	16	255	243	202
Total number of stores	1532	1234	1473	1218	977
Total selling area (m ²)	597,089	477,983	573,489	471,683	375,715

Cost of sales

The cost of sales was 74.5% and 75.5% of revenue in Q1 2021 and Q1 2020, respectively. The cost of sales rose PLN 380.7 million, i.e. by 22.7% to PLN 2,056.3 million in Q1 2021 compared to PLN 1,675.6 million in Q1 2020, with a corresponding 24.3% increase of revenue. This growth was caused mainly by the Dino Group's growing business size in connection with the expansion of the Dino Group's store network and rising sales in the current store network (LFL) as well as by the new retail sales tax, which took force at the start of 2021.

Sales and marketing expenses

Sales and marketing expenses grew by PLN 112.7 million, i.e. 29.8% to PLN 490.7 million in Q1 2021 compared to PLN 378.0 million in Q1 2020. This growth was mainly driven by the Dino Group's growing business size and the related expansion of the store network and rising LFL sales, thereby necessitating higher costs associated with store upkeep, storage of merchandise and marketing.

General administration expenses

General administration expenses rose PLN 3.4 million to PLN 25.3 million in Q1 2021 compared to PLN 21.9 million in Q1 2020. This was caused mainly by the expansion of the Dino store network.

Costs by nature

The following table presents costs by nature.

(PLN 000s)	Q1 2021	Q1 2020	change
Depreciation and amortization	55,017	46,506	18.3%
Consumption of materials and energy	225,627	212,897	6.0%
External services	94,065	77,701	21.1%
Taxes and fees	16,106	13,670	17.8%
Employee benefits	362,853	269,882	34.4%
Other costs by nature	9,887	6,399	54.5%
Cost of goods and materials sold	1,814,823	1,455,330	24.7%
Total costs by nature, including:	2,578,378	2,082,385	23.8%
Items captured in cost of sales	2,056,288	1,675,574	22.7%
Items captured in sales and marketing expenses	490,665	377,990	29.8%
Items captured in general administration expenses	25,309	21,892	15.6%
Movement in products	6,116	6,929	-11.7%

Total costs by nature increased by PLN 496.0 million, or 23.8%, to PLN 2,578.4 million in Q1 2021, compared to PLN 2,082.4 million in Q1 2020, mainly as a result of higher: (i) cost of merchandise and materials sold (by PLN 359.5 million), (ii) costs of employee benefits (by PLN 93.0 million) and (iii) costs of external services (by PLN 16.4 million). This growth was caused mainly by the expansion of the Dino store network and rising sales in the current store network (LFL).

The costs of employee benefits rose PLN 93.0 million, i.e. 34.4% to PLN 362.9 million in Q1 2021 compared to PLN 269.9 million in Q1 2020. This growth resulted primarily from the number of Dino Group employees rising from 21,595 as at 31 March 2020 to 26,964 as at 31 March 2021 in connection with the Dino Group's expanding business size and the related expansion of the Dino store network and rising LFL sales in the current store network and, to a lesser extent, from the higher average salary in the Dino Group.

External services, which comprised in particular transportation services, lease and tenancy services, and maintenance services, increased by PLN 16.4 million, or 21.1%, to PLN 94.1 million in Q1 2021 compared to PLN 77.7 million in Q1 2020. This growth was caused by the Dino Group's growing business size and the related expansion of the Dino Group's store network and rising LFL sales in the current store network.

Consumption of materials and energy increased by PLN 12.7 million, or 6.0%, to PLN 225.6 million in Q1 2021 compared to PLN 212.9 million in Q1 2020. This growth was caused mainly by the growth in the costs of electricity in connection with the Dino Group's expanding business size, which was partially offset by the lower costs of consumed materials and commodities in connection with the decline in some of their unit prices.

Financial expenses

The Dino Group's financial expenses fell PLN 5.3 million, or 33.4%, to PLN 10.6 million in Q1 2021 compared to PLN 15.9 million in Q1 2020. This drop was the outcome of interest rate cuts.

Balance sheet – assets

(PLN 000s)	31.03.2021	31.12.2020	31.03.2020	Change 31.03.21 / 31.12.20	Change 31.03.21 / 31.03.20
Property, plant and equipment	4,004,232	3,749,480	2,950,860	6.8%	35.7%
Right-of-use assets	178,168	184,538	242,531	-3.5%	-26.5%
Intangible assets	98,460	99,050	99,895	-0.6%	-1.4%
Other non-financial assets (non-current)	4	6	12	-33.3%	-66.7%
Deferred tax assets	20,546	20,738	18,649	-0.9%	10.2%
Total non-current assets	4,301,410	4,053,812	3,311,947	6.1%	29.9%
Inventories	920,601	875,147	730,058	5.2%	26.1%
Trade and other receivables	60,709	86,822	40,308	-30.1%	50.6%
Income tax receivables	0	2	2	-100.0%	-100.0%
Other non-financial assets	74,237	73,367	60,089	1.2%	23.5%
Other financial assets	985	942	448	4.6%	119.9%
Cash and cash equivalents	283,124	480,418	355,740	-41.1%	-20.4%
Total current assets	1,339,656	1,516,698	1,186,645	-11.7%	12.9%
TOTAL ASSETS	5,641,066	5,570,510	4,498,592	1.3%	25.4%

Total assets increased by PLN 70.6 million, i.e. 1.3%, from PLN 5,570.5 million as at 31 December 2020 to PLN 5,641.1 million as at 31 March 2021. Compared to 31 March 2020, total assets rose by PLN 1,142.5 million, or 25.4%.

As at 31 March 2021, the main components of total assets were: (i) property, plant and equipment (constituting 71.0%), (ii) inventories (constituting 16.3%) and (iii) cash and cash equivalents (constituting 5.0%).

Non-current assets rose by PLN 247.6 million, i.e. 6.1%, from PLN 4,053.8 million as at 31 December 2020 to PLN 4,301.4 million as at 31 March 2021. Compared to 31 March 2020, non-current assets rose by PLN 989.5 million, or 29.9%. In both cases this growth was caused by higher property, plant and equipment which, in turn, was caused primarily by Dino's network rollout and capital expenditures.

Current assets dropped by PLN 177.0 million, i.e. 11.7%, from PLN 1,516.7 million as at 31 December 2020 to PLN 1,339.7 million as at 31 March 2021. This drop was driven by cash and cash equivalents falling by PLN 197.3 million.

Compared to 31 March 2020, current assets increased by PLN 153.0 million, i.e. 12.9% primarily as a result of higher inventories (up PLN 190.5 million) due to the Dino Group's expanding business size, which was partially offset by cash and cash equivalents being down PLN 72.6 million.

Balance sheet – liabilities and equity

(PLN 000s)	31.03.2021	31.12.2020	31.03.2020	Change 31.03.21 / 31.12.20	Change 31.03.21 / 31.03.20
Equity	2,411,398	2,266,563	1,726,266	6.4%	39.7%
Share capital	9,804	9,804	9,804	0.0%	0.0%
Supplementary capital	2,063,322	2,063,322	1,652,132	0.0%	24.9%
Retained earnings	330,772	185,937	56,830	77.9%	482.0%
Other equity	7,500	7,500	7,500	0.0%	0.0%
Total equity	2,411,398	2,266,563	1,726,266	6.4%	39.7%
Interest-bearing loans and borrowings	723,582	725,851	748,784	-0.3%	-3.4%
Lease liabilities (LT)	61,358	67,876	93,682	-9.6%	-34.5%
Other liabilities	150	180	180	-16.7%	-16.7%
Liabilities by virtue of outstanding securities (LT)	419,937	419,936	169,929	0.0%	147.1%
Provisions for employee benefits	2,847	2,844	1,830	0.1%	55.6%
Deferred tax liability	21,681	6,555	17,959	230.8%	20.7%
Accruals and deferred revenue (LT)	7	14	21	-50.0%	-66.7%
Total non-current liabilities	1,229,562	1,223,256	1,032,385	0.5%	19.1%
Trade and other payables	1,614,817	1,695,163	1,308,904	-4.7%	23.4%
Current part of interest-bearing loans and borrowings	218,139	216,868	169,438	0.6%	28.7%
Lease liabilities (ST)	37,452	42,249	51,596	-11.4%	-27.4%
Liabilities by virtue of outstanding securities (ST)	905	930	100,702	-2.7%	-99.1%
Income tax liabilities	69,753	80,509	71,014	-13.4%	-1.8%
Accruals and deferred revenue (ST)	57,711	43,640	37,267	32.2%	54.9%
Provisions for employee benefits and other provisions	1,329	1,332	1,020	-0.2%	30.3%
Total current liabilities	2,000,106	2,080,691	1,739,941	-3.9%	15.0%
Total liabilities	3,229,668	3,303,947	2,772,326	-2.2%	16.5%
TOTAL EQUITY AND LIABILITIES	5,641,066	5,570,510	4,498,592	1.3%	25.4%

As at 31 March 2021, the main components of liabilities were: (i) trade and other payables representing 50.0%; (ii) interest-bearing loans and borrowings (long-term) representing 22.4%.

Total liabilities fell by PLN 74.3 million, i.e. 2.2%, from PLN 3,303.9 million as at 31 December 2020 to PLN 3,229.7 million as at 31 March 2021. Total liabilities rose by PLN 457.3 million, or 16.5% from PLN 2,772.3 million as at 31 March 2020 to PLN 3,229.7 million as at 31 March 2021.

Non-current liabilities rose by PLN 6.3 million, i.e. 0.5%, from PLN 1,223.3 million as at 31 December 2020 to PLN 1,229.6 million as at 31 March 2021. Compared to 31 March 2020, non-current liabilities rose by PLN 197.2 million, or 19.1%, chiefly in connection with the expanding Dino store network.

Current liabilities fell PLN 80.6 million, or 3.9%, from PLN 2,080.7 million as at 31 December 2020 to PLN 2,000.1 million, primarily as a result of a decrease in trade and other payables.

The Dino Group's net debt² was PLN 1,178.2 million as at 31 March 2021, signifying growth of PLN 185.0 million compared to 31 December 2020 and growth of PLN 199.9 million compared to 31 March 2020. The net debt to EBITDA ratio for the last 12 months was 1.08x as at 31 March 2021. As at 31 March 2020 it was 1.25x.

² Defined as interest-bearing loans and borrowings and liabilities under lease agreements + liabilities by virtue of outstanding securities + current part of interest-bearing loans and borrowings and lease liabilities minus cash and cash equivalents.

Cash flows

(PLN 000s)

	Q1 2021	Q1 2020	change
Net cash from operating activities, including:	193,095	19,746	877.9%
<i>profit before tax</i>	177,336	128,288	38.2%
<i>depreciation and amortization</i>	55,017	46,506	18.3%
<i>movement in working capital</i>	(11,980)	(144,856)	-91.7%
<i>other</i>	(27,278)	(10,192)	167.6%
Net cash from investing activities	(366,849)	(228,739)	60.4%
Net cash from financing activities	(23,540)	170,013	-
Net increase in cash and cash equivalents	(197,295)	(38,980)	406.1%

The Dino Group generated net cash flow from operating activities in Q1 2021 totaling PLN 193.1 million. In Q1 2020 it was PLN 19.7 million. Net cash flow from investing activities totaled PLN -366.8 million in Q1 2021 and was up 60.4% versus Q1 2020. The high level of capital expenditures stems chiefly from the high pace of new Dino store openings and the finalization of construction work on the Company's two new distribution centers in Sierpc and Sieronowice. The distribution center in Sieronowice will be launched in Q2 2021 while the opening of the distribution center in Sierpc is planned for the latter half of 2021.

2.1.3. Factors impacting Dino's operations and results

In the opinion of the Dino Management Board, the following factors will affect the Dino Group's business in the upcoming quarters of 2021:

- pace of new store openings by the Dino Group and the related capital expenditures;
- changes in consumer spending precipitated by the epidemiological situation and the restrictions implemented in connection with it;
- growth rate of the prices of consumer goods and services, in particular food and soft drinks;
- the new retail sales tax, that will require the Company to enhance efficiency in various areas of the Dino Group's operations to neutralize the impact on the Company's profitability;
- improved efficiency of the Company's operations, benefits resulting from economies of scale and optimization of operating expenses, as well as improved efficiency of logistics services provided to all stores.

Due to uncertainty about the future state of the economy, the Management Board's expectations and projections are subject to a high dose of uncertainty.

2.2. Shareholders of the Company and shares held by management board and supervisory board members

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. There are no shares in the Company with special control powers attached. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino shares.

Shareholding structure of Dino Polska S.A. as at the Report Date

	Number of shares and number of votes at the Shareholder Meeting	Percentage of share capital and votes at the Shareholder Meeting
Tomasz Biernacki with a subsidiary ³	50,160,000	51.16%
Other shareholders.....	47,880,000	48.84%

³ BT Kapital Sp. z o.o., a subsidiary of Tomasz Biernacki, holds 160 thousand Company shares.

As at the Report Date, to the Company's best knowledge, the only holder of Dino Shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Polska Supervisory Board.

Michał Krauze, a Management Board Member, held 30,000 Company shares as at the Report Date. Compared to the publication date of the FY 2020 report, the number of shares held by Michał Krauze has not changed. Izabela Biadała, a Management Board Member, held 80 shares in the Company as at the Report Date. On the publication date of the FY 2020 report, Izabela Biadała did not hold shares in the Company. Michał Muskala, a Management Board Member, did not hold any Company shares as at the Report Date. Compared to the publication date of the FY 2020 report, the number of shares held in the Company by Michał Muskala has not changed.

The following Supervisory Board members held shares in Dino as at the Report Date: Tomasz Biernacki (Supervisory Board Chairman) – as detailed in the table above, Eryk Bajer (Supervisory Board Member) – 29,890 shares (jointly with a controlled entity) and Sławomir Jakszuk (Supervisory Board Member) – 1,600 shares. Compared to the publication date of the FY 2020 the number of shares in Dino Polska held by Eryk Bajer (jointly with a controlled entity) increased by 2 thousand. The number of shares in the Company held by Sławomir Jakszuk has not changed since the publication date of the FY 2020 report.

2.3. Operating Segments

The Dino Polska S.A. Group runs its operations in one business sector and has one operating and reporting segment in the form of sales in a retail store network.

Its revenues may be broken down by type of product or merchandise or product group. However, the Management Board does not measure detailed operating results generated by any of such categories, which means that it would be problematic to ascertain the unambiguous impact of the allocation of resources on each category. As such, information on revenues generated in each category is of a limited decision-making value. Because the smallest area of business for which the Management Board reviews profitability ratios is the level of the Dino Polska S.A. Group as a whole, only one operating segment has been isolated.

(PLN 000s)

Revenue on sales of products and services

Revenue on sales of goods and materials

Total

Q1 2021	Q1 2020
345,055	282,245
2,415,645	1,938,139
2,760,700	2,220,384

3. CONDENSED CONSOLIDATED FINANCIAL STATEMENTS OF THE DINO POLSKA S.A. GROUP

3.1. Condensed consolidated statement of profit or loss

for the period from 1 January 2021 to 31 March 2021 (PLN 000s)

	01.01.2021- 31.03.2021	01.01.2020- 31.03.2020
Continuing operations		
Sales revenue	2,760,700	2,220,384
Cost of sales	(2,056,288)	(1,675,574)
Gross profit on sales	704,412	544,810
Other operating income	1,758	1,901
Sales and marketing expenses	(490,665)	(377,990)
General administration expenses	(25,309)	(21,892)
Other operating expenses	(2,431)	(3,193)
Operating profit	187,765	143,636
Financial income	193	597
Financial expenses	(10,622)	(15,945)
Profit before tax	177,336	128,288
Income tax	(32,501)	(24,375)
Net profit from continuing operations	144,835	103,913
Net profit for the reporting period	144,835	103,913
Profit attributable:		
To owners of the parent	144,835	103,913
Earnings per share:		
– basic earnings from profit attributable to owners of the parent	1.48	1.06
– basic earnings from profit from continuing operations attributable to owners of the parent	1.48	1.06
– diluted earnings from profit attributable to owners of the parent	1.48	1.06
– diluted earnings from profit from continuing operations attributable to owners of the parent	1.48	1.06

3.2. Condensed consolidated statement of comprehensive income

for the period from 1 January 2021 to 31 March 2021 (PLN 000s)

	<u>01.01.2021- 31.03.2021</u>	<u>01.01.2020- 31.03.2020</u>
Net profit for the reporting period	144,835	103,913
<i>Items not subject to reclassification to profit in subsequent reporting periods:</i>		
Net other comprehensive income not subject to reclassification to profit/(loss) in subsequent reporting periods	-	-
Net other comprehensive income	-	-
Comprehensive income in the reporting period	144,835	103,913
Comprehensive income attributable:		
To owners of the parent	144,835	103,913
Non-controlling shareholders	-	-
	144,835	103,913

3.3. Condensed consolidated statement of financial position

as at 31 March 2021 (PLN 000s)

	31.03.2021	31.12.2020	31.03.2020
ASSETS			
Property, plant and equipment	4,004,232	3,749,480	2,950,860
Right-of-use assets	178,168	184,538	242,531
Intangible assets	98,460	99,050	99,895
Other non-financial assets	4	6	12
Deferred tax assets	20,546	20,738	18,649
Total non-current assets	4,301,410	4,053,812	3,311,947
Inventories	920,601	875,147	730,058
Trade and other receivables	60,709	86,822	40,308
Income tax receivables	-	2	2
Other non-financial assets	74,237	73,367	60,089
Other financial assets	985	942	448
Cash and cash equivalents	283,124	480,418	355,740
Total current assets	1,339,656	1,516,698	1,186,645
TOTAL ASSETS	5,641,066	5,570,510	4,498,592
EQUITY AND LIABILITIES			
Equity (attributable to owners of the parent)	2,411,398	2,266,563	1,726,266
Share capital	9,804	9,804	9,804
Supplementary capital	2,063,322	2,063,322	1,652,132
Retained earnings	330,772	185,937	56,830
Other equity	7,500	7,500	7,500
Non-controlling interests	-	-	-
Total equity	2,411,398	2,266,563	1,726,266
Interest-bearing loans and borrowings	723,582	725,851	748,784
Lease liabilities	61,358	67,876	93,682
Liabilities by virtue of outstanding securities	419,937	419,936	169,929
Other liabilities	150	180	180
Provisions for employee benefits	2,847	2,844	1,830
Deferred tax liability	21,681	6,555	17,959
Accruals and deferred revenue	7	14	21
Total non-current liabilities	1,229,562	1,223,256	1,032,385
Trade and other payables	1,614,817	1,695,163	1,308,904
Current part of interest-bearing loans and borrowings	218,139	216,868	169,438
Lease liabilities	37,452	42,249	51,596
Liabilities by virtue of outstanding securities	905	930	100,702
Income tax liabilities	69,753	80,509	71,014
Accruals and deferred revenue	57,711	43,640	37,267
Provisions for employee benefits	1,329	1,332	1,020
Total current liabilities	2,000,106	2,080,691	1,739,941
Total liabilities	3,229,668	3,303,947	2,772,326
TOTAL EQUITY AND LIABILITIES	5,641,066	5,570,510	4,498,592

3.4. Condensed consolidated statement of cash flows

for the period from 1 January 2021 to 31 March 2021 (PLN 000s)

	01.01.2021- 31.03.2021	01.01.2020- 31.03.2020
Cash flow from operating activities		
<i>Profit before tax</i>	177,336	128,288
<i>Adjustments for the line items:</i>	15,759	(108,542)
Depreciation and amortization	55,017	46,506
(Profit)/loss on investment activity	1,122	372
Movement in trade receivables and other receivables	50,103	36,472
Movement in inventories	(45,454)	(106,063)
Movement in liabilities, except for loans and borrowings	(16,629)	(75,265)
Interest revenue	(29)	(370)
Interest expense	10,649	15,927
Movement in prepayments, accruals and deferred revenue	(11,082)	(12,218)
Movement in provisions	-	-
Income tax paid	(27,938)	(13,903)
Other	-	-
Net cash from operating activities	193,095	19,746
Cash flow from investing activities		
Sale of items of property, plant and equipment and intangible assets	398	511
Purchase of items of property, plant and equipment and intangible assets	(367,234)	(229,469)
Interest received	29	370
Repayment of extended borrowings	334	-
Granting of loans	(376)	(151)
Net cash from investing activities	(366,849)	(228,739)
Cash flow from financing activities		
Payment of lease liabilities	(11,892)	(15,820)
Proceeds from obtained loans/borrowings	69,950	235,919
Repayment of loans/borrowings	(70,949)	(34,158)
Interest paid	(10,649)	(15,928)
Net cash from financing activities	(23,540)	170,013
Net increase in cash and cash equivalents	(197,294)	(38,980)
Cash at the beginning of the period	480,418	394,720
Cash at the end of the period	283,124	355,740

3.5. Condensed consolidated statement of changes in equity

for the period from 1 January 2021 to 31 March 2021 (PLN 000s)

	<i>Attributable to owners of the parent</i>				
	<i>Share capital</i>	<i>Supplementary capital</i>	<i>Retained earnings</i>	<i>Other equity</i>	<i>Total</i>
As at 1 January 2021	9,804	2,063,322	185,937	7,500	2,266,563
Net profit for 2021	-	-	144,835	-	144,835
Net other comprehensive income for 2021	-	-	-	-	-
<i>Comprehensive income for the year</i>	-	-	144,835	-	144,835
As at 31 March 2021	9,804	2,063,322	330,772	7,500	2,411,398
As at 1 January 2020	9,804	1,652,132	(47,083)	7,500	1,622,353
Net profit for 2020	-	-	643,917	-	643,917
Other net comprehensive income for 2020	-	-	293	-	293
<i>Comprehensive income for the year</i>	-	-	644,210	-	644,210
Distribution of the 2019 financial result	-	411,190	(411,190)	-	-
As at 31 December 2020	9,804	2,063,322	185,937	7,500	2,266,563
As at 1 January 2020	9,804	1,652,132	(47,083)	7,500	1,622,353
Net profit for 2020	-	-	103,913	-	103,913
Other net comprehensive income for 2020	-	-	-	-	-
<i>Comprehensive income for the year</i>	-	-	103,913	-	103,913
As at 31 March 2020	9,804	1,652,132	56,830	7,500	1,726,266

4. CONDENSED STANDALONE FINANCIAL STATEMENTS OF DINO POLSKA S.A.

4.1. Selected standalone financial data

	PLN 000s		EUR 000s*	
	01.01.2021- 31.03.2021	01.01.2020- 31.03.2020	01.01.2021- 31.03.2021	01.01.2020- 31.03.2020
Sales revenue	2,759,617	2,214,931	603,578	503,817
Operating profit	126,146	109,408	27,590	24,886
Profit before tax	115,916	95,002	25,353	21,610
Net profit	93,817	76,952	20,519	17,504
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	0.96	0.78	0.21	0.18
Cash flow from operating activities	153,762	(22,290)	33,630	(5,070)
Cash flow from investing activities	(336,213)	(168,758)	(73,536)	(38,386)
Cash flow from financing activities	968	130,869	212	29,768
Net change in cash and cash equivalents	(181,483)	(60,179)	(39,694)	(13,689)

In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

- average NBP exchange rate for Q1 2021:	4.5721
- average NBP exchange rate for Q1 2020:	4.3963

	PLN 000s		EUR 000s*	
	31.03.2021	31.12.2020	31.03.2021	31.12.2020
Total assets	5,045,351	4,987,834	1,082,624	1,080,834
Total non-current assets	3,638,265	3,424,928	780,693	742,162
Total current assets	1,407,086	1,562,906	301,930	338,673
Equity	1,810,024	1,716,207	388,392	371,892
Share capital	9,804	9,804	2,104	2,124
Non-current liabilities	1,017,016	1,013,795	218,230	219,683
Current liabilities	2,102,072	2,166,999	451,059	469,576

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 31 March 2021:	4.6603
- NBP's average exchange rate as at 31 December 2020:	4.6148

4.2. Condensed standalone statement of profit or loss

for the period from 1 January 2021 to 31 March 2021 (PLN 000s)

(in thousands of PLN)

	01.01.2021- 31.03.2021	01.01.2020- 31.03.2020
A. Net revenues on sales and equivalents	2,759,617	2,214,931
I. Net revenue on sales of products	7,675	4,429
IV. Net revenue on sales of goods and materials	2,751,942	2,210,502
B. Operating expenses	2,632,527	2,103,910
I. Depreciation and amortization	41,247	33,761
II. Consumption of materials and energy	40,508	32,477
III. External services	135,749	110,585
IV. Taxes and fees	12,677	10,782
V. Employee benefits	266,338	200,028
VI. Social security and other benefits, of which:	61,880	42,427
VII. Other costs by nature	9,709	6,333
VIII. Cost of goods and materials sold	2,064,419	1,667,517
C. Sales profit (loss) (A – B)	127,090	111,021
D. Other operating income	1,461	1,626
E. Other operating expenses	2,405	3,239
F. Operating profit (loss) (C+D-E)	126,146	109,408
G. Financial income	1,705	1,818
H. Financial expenses	11,935	16,224
I. Profit / (loss) before tax (F + G - H)	115,916	95,002
J. Income tax	22,099	18,050
K. Other compulsory reductions in profit (increases in losses)	-	-
L. Net profit (loss) (I – J – K)	93,817	76,952

4.3. Condensed standalone balance sheet

as at 31 March 2021 (PLN 000s)

(in thousands of PLN)

Assets

A. Non-current assets

- I. Intangible assets
- II. Property, plant and equipment
- III. Non-current receivables
- IV. Non-current investments
- V. Non-current prepayments and accruals

B. Current assets

- I. Inventories
- II. Current receivables
- III. Current investments
- IV. Current prepayments and accruals

C. Contributions due to share capital

D. Treasury stock

Total assets

31.03.2021	31.12.2020	31.03.2020
3,638,265	3,424,928	2,757,218
23,866	24,630	26,700
2,809,913	2,597,950	1,937,582
-	-	-
755,831	755,831	755,836
48,655	46,517	37,100
1,407,086	1,562,906	1,248,861
882,196	847,617	694,594
94,895	142,519	72,327
410,660	569,586	467,422
19,335	3,184	14,518
-	-	-
-	-	-
5,045,351	4,987,834	4,006,079

(in thousands of PLN)

Equity and liabilities

A. Equity

- I. Share capital
- II. Supplementary capital
- III. Revaluation reserve (fund)
- IV. Other reserve capital
- V. Profit (loss) brought forward
- VI. Net profit (loss)
- VII. Other items of equity
- VIII. Charges to net profit during the financial year (negative figure)

B. Liabilities and provisions for liabilities

- I. Provisions for liabilities
- II. Non-current liabilities
- III. Current liabilities
- IV. Accruals and deferred revenue

Total liabilities and equity

31.03.2021	31.12.2020	31.03.2020
1,810,024	1,716,207	1,325,123
9,804	9,804	9,804
1,208,019	1,208,019	889,818
-	-	-
-	-	-
468,036	-	318,201
93,817	468,036	76,952
30,348	30,348	30,348
-	-	-
3,235,327	3,271,627	2,680,956
69,674	51,673	54,315
1,017,016	1,013,795	810,565
2,102,072	2,166,999	1,783,885
46,565	39,160	32,191
5,045,351	4,987,834	4,006,079

4.4. Condensed standalone statement of cash flows

for the period from 1 January 2021 to 31 March 2021 (PLN 000s)

(in thousands of PLN)

	01.01.2021- 31.03.2021	01.01.2020- 31.03.2020
A. Cash flow from operating activities		
I. Net profit (loss)	93,817	76,952
II. Total adjustments	59,945	(99,242)
1. Depreciation and amortization	41,247	33,761
2. Gains (losses) arising from changes in foreign currency exchange rates	-	-
3. Interest and profit sharing (dividends)	8,564	12,921
4. Profit (loss) on investing activity	1,130	458
5. Movement in provisions	18,001	14,676
6. Movement in inventories	(34,579)	(93,399)
7. Movement in receivables	47,305	28,836
8. Movement in current liabilities, except for loans and borrowings	(10,839)	(82,867)
9. Movement in prepayments, accruals and deferred revenue	(10,884)	(13,628)
III. Net cash flow from operating activities (I±II)	153,762	(22,290)
B. Cash flow from investing activities		
I. Inflows	31,143	37,968
1. Sale of intangible assets and property, plant and equipment	384	41
2. Sale of investments in real property and intangible assets	-	-
3. From financial assets, of which:	30,759	37,927
a) in related entities	30,759	37,786
b) in other entities	-	141
- interest	-	141
II. Outflows	(367,356)	(206,726)
1. Purchase of intangible assets and property, plant and equipment	(315,475)	(195,726)
2. Investments in real property and intangible assets	-	-
3. Towards financial assets, of which:	(51,881)	(11,000)
a) in related entities	(51,881)	(11,000)
III. Net cash flow from investing activities (I-II)	(336,213)	(168,758)
C. Cash flow from financing activities		
I. Inflows	81,950	185,919
1. Net inflows on the delivery of shares (share issue) and other equity instruments and capital contributions	-	-
2. Loans and borrowings	81,950	185,919
3. Issue of debt securities	-	-
4. Other financial proceeds	-	-
II. Outflows	(80,982)	(55,050)
1. Purchase of treasury shares	-	-
2. Dividends and other distributions to owners	-	-
3. Profit-sharing expenditures other than distributions to owners	-	-
4. Repayment of loans and borrowings	(60,721)	(28,097)
5. Redemption of debt securities	-	-
6. On account of other financial liabilities	-	-
7. Payment of finance lease liabilities	(8,326)	(12,054)
8. Interest	(10,280)	(13,396)
9. Other financial expenditures	(1,655)	(1,503)
III. Net cash from financing activities (I-II)	968	130,869
D. Total net cash flow (A.III±B.III±C.III)	(181,483)	(60,179)
E. Balance sheet movement in cash, including	(181,483)	(60,179)
F. Cash at the beginning of the period	423,645	377,737
G. Cash at the end of the period (F±D), including	242,162	317,558
- restricted cash	228	12

4.5. Condensed standalone statement of changes in equity

for the period from 1 January 2021 to 31 March 2021 (PLN 000s)

(in thousands of PLN)

	01.01.2021- 31.03.2021	01.01.2020- 31.12.2020	01.01.2020- 31.03.2020
I. Equity at the beginning of the period (OB)	1,716,207	1,248,171	1,248,171
I.a. Equity at the beginning of the period (OB), adjusted	1,716,207	1,248,171	1,248,171
1. Share capital at the beginning of the period	9,804	9,804	9,804
1.1. Movement in share capital	-	-	-
1.2. Share capital at the end of the period	9,804	9,804	9,804
2. Supplementary capital at the beginning of the period	1,208,019	889,818	889,818
2.1. Changes to supplementary capital	-	318,201	-
(i) increase	-	318,201	-
- profit distribution	-	318,201	-
b) decrease	-	-	-
2.2. Balance of supplementary capital at the end of the period	1,208,019	1,208,019	889,818
3. Revaluation reserve at the beginning of the period	-	-	-
3.1. Changes in the revaluation reserve	-	-	-
3.2. Revaluation reserve at the end of the period	-	-	-
4. Other reserve capital at the beginning of the period	-	-	-
4.1. Change in other reserve capital	-	-	-
4.2. Other reserve capital at the end of the period	-	-	-
5. Profit (loss) brought forward at the beginning of the period	468,036	318,201	318,201
5.1. Profit brought forward at the beginning of the period	468,036	318,201	318,201
5.2. Profit brought forward at the beginning of the period, adjusted	468,036	318,201	318,201
(i) increase	-	-	-
b) decrease	-	(318,201)	-
- distribution of profits brought forward	-	(318,201)	-
5.3. Profit brought forward at the end of the period	468,036	-	318,201
5.4. Loss brought forward at the beginning of the period	-	-	-
5.5. Loss brought forward at the beginning of the period, adjusted	-	-	-
(i) increase	-	-	-
b) decrease	-	-	-
5.6. Losses brought forward at the end of the period	-	-	-
5.7. Profit (loss) brought forward at the end of the period	468,036	-	318,201
6. Net result	93,817	468,036	76,952
a) net profit	93,817	468,036	76,952
b) net loss	-	-	-
c) charges to profit	-	-	-
7. Other items of equity at the beginning of the period	30,348	30,348	30,348
7.1 Change in other items of equity	-	-	-
(i) increase	-	-	-
- effect of settlement of the merger with a subsidiary	-	-	-
7. Other items of equity at the end of the period	30,348	30,348	30,348
8. Charges to net profit during the financial year (negative figure)	-	-	-
II. Equity at the end of the period (CB)	1,810,024	1,716,207	1,325,123
III. Equity after considering the proposed distribution of profits (coverage of losses)	1,810,024	1,716,207	1,325,123

5. NOTES TO THE FINANCIAL STATEMENTS

5.1. General rules adopted for the preparation of the interim quarterly statements

Consolidated statements

The presented interim (quarterly) condensed consolidated financial statements were prepared in accordance with:

- International Accounting Standard 34 – Interim Financial Reporting and International Financial Reporting Standards (hereinafter “IFRS”) published in the Commission Regulation (EC) no. 1725/2003 of 29 September 2003, as amended,
- to the extent not regulated by the above standards – according to the requirements of the Accounting Act of 29 September 1994 (Journal of Laws of 2016, Item 1047 as amended) and executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister’s Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the consolidated financial statements for the year 2020.

These interim (quarterly) condensed consolidated financial statements have been prepared based on the assumption that the Group companies will continue as a going concern in the foreseeable future.

The interim (condensed) consolidated financial statements for the period from 1 January 2021 to 31 March 2021 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

Standalone financial statements

The presented interim (quarterly) condensed standalone financial statements were prepared according to the following:

- provisions of the Accounting Act of 29 September 1994 (Journal of Laws of 2016, Item 1047 as amended) and executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister’s Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the standalone financial statements for the year 2020.

These interim (quarterly) standalone financial statements have been prepared with the assumption that the Company will continue its business as a going concern in the foreseeable future.

The interim (condensed) standalone financial statements for the period from 1 January 2021 to 31 March 2021 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

The differences in the value of the disclosed data and the material differences pertaining to the accepted accounting standards (policies) between the financial statements drawn up in accordance with Polish Accounting Standards and the financial statements drawn up according to IFRS

The Company is the Group's parent company, which has an obligation to prepare consolidated financial statements according to the IFRS standards endorsed by the EU. The Group in which the Company is the parent company prepared its first annual consolidated financial statements compliant with IFRS endorsed by the EU for the financial year ended 31 December 2013. The Group selected 1 January 2013 as the date of transition to IFRS.

The Company's date of transition to IFRS cannot be determined definitively because the Company has not made a decision on that date, nor has it prepared its first financial statements compliant with IFRS endorsed by the EU. Had the financial statements been prepared in accordance with IFRS, the main differences between the accounting standards accepted for the attached financial statements and IFRS, under the assumption that the date of transition to IFRS is 1 January 2013, would pertain in particular to the following areas:

- determination of the residual value of fixed assets,
- separation of components and determination of depreciation charges for the actual periods of use,
- retraction of the calculated depreciation charges for trademarks as of the date of the Group's transition to IFRS,
- recognition of fixed assets and lease liabilities under IFRS16.

The presentation of some lines items of the financial statements may differ between Polish Accounting Standards and IFRS. The differences in presentation do not affect the Company's equity and net result. The components of the various line items of the financial statements and the scope of additional information to the financial statements according to the Polish Accounting Standards and IFRS may differ to a material degree.

Table depicting the effects of the disclosed differences in net profit and equity:

Equity according to PAS	1,810,024
Adjusted depreciation and amortization on account of residual value	1,588
Adjusted depreciation and amortization on account of the separation of components	(1,951)
Adjustment - amortization of trademarks	7,228
Adjustment - lease of fixed assets (IFRS 16)	(8,582)
Equity according to IFRS	1,808,307
Net profit according to PAS	93,817
Adjusted depreciation and amortization on account of residual value	36
Adjusted depreciation and amortization on account of the separation of components	(148)
Adjustment - amortization of trademarks	195
Adjustment - lease of fixed assets (IFRS 16)	(419)
Net profit according to IFRS	93,481
Other comprehensive income	-

The identification and measurement of these differences require the preparation of estimates and assumptions that do affect the disclosed figures. Even though the accepted assumptions and estimates are based on the Company's best knowledge, the actual figures may vary from the anticipated figures. This note identifying the major areas of difference between Polish Accounting Standards and IFRS has been drawn up on the basis of IFRS in force as at 31 March 2021 and under the assumption that the date for transition to IFRS is 1 January 2013.

Since work is still in progress on more standards and amending the current standards it is possible that the standards according to which the Company will prepare its first financial statements complying with IFRS will differ from the standards applicable to the preparation of this note. The assumption concerning the date as of which the values of assets and liabilities would be determined in the Company's financial statements complying

with IFRS stems from the option for the Management Board to utilize the exemption contemplated by paragraph 24 of IFRS 1, according to which the Company may accept the values carried in the parent company's consolidated financial statements compliant with IFRS on the basis of the parent company's date of transition to IFRS, i.e. 1 January 2013; however, the Company's Management Board may in any event alter that decision and it may accept its own date for the transition to applying IFRS.

Moreover, according to IFRS, only complete financial statements containing a balance sheet, a statement of comprehensive income and/or a statement of profit or loss, a statement of changes in equity, a statement of cash flows with comparable data and notes may accurately present financial standing, business results and cash flow according to IFRS.

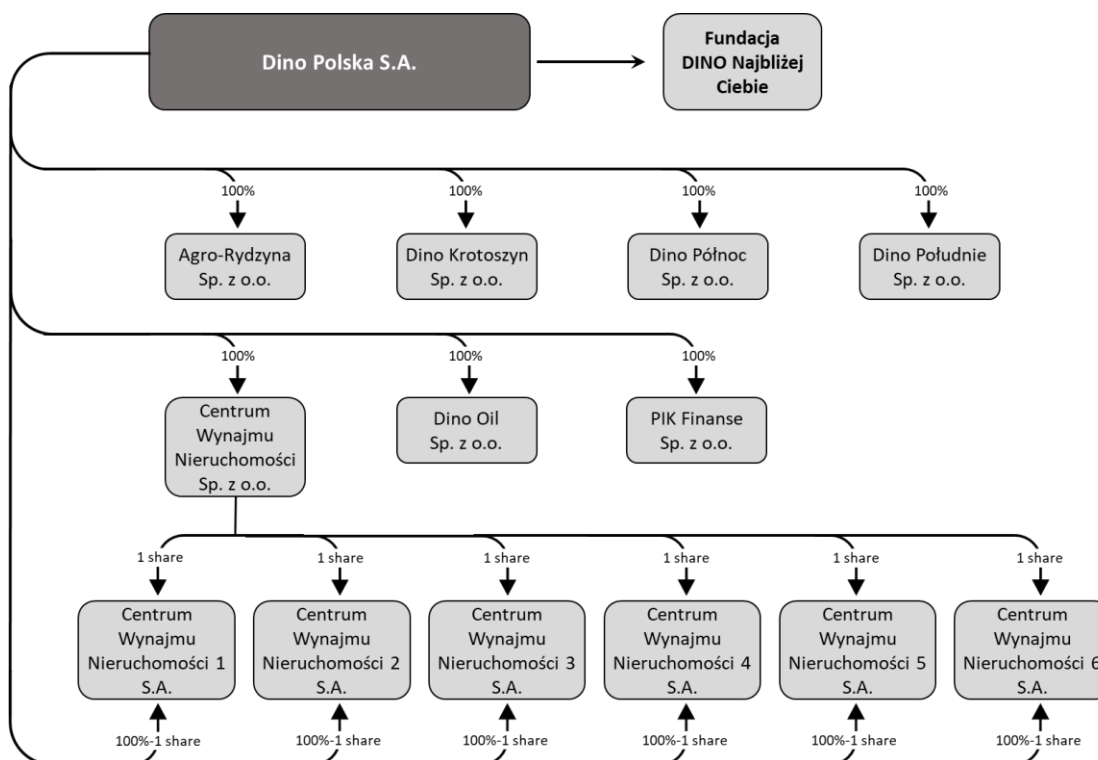
5.2. Group Overview

Dino Polska is the parent company of the Dino Polska Group. The company runs a business involving the management of the store network under the Dino brand. The Company manages, among others, the logistics of supply of products to the stores, sales, product range offered in the stores and supports other Subsidiaries (Real Estate Lease Centers) execution of investment processes related to securing new sites and building new stores. The Company also owns some of the real properties on which the stores are located and leases facilities in which the stores are located from third parties and other Group Companies that own the properties.

Dino Polska is run by a three-person Management Board in the following composition: Izabela Biadała, Chief Operating and Administrative Officer, Michał Krauze, Chief Financial Officer and Management Board Member and Michał Muskała, Chief Investment Project Officer and Management Board Member.

The Company's Supervisory Board functions with a composition of five persons (Tomasz Biernacki - Chairman, and the following members: Eryk Bajer, Sławomir Jakszuk, Piotr Nowjalis and Maciej Polanowski). On 12 January 2021 Szymon Piduch tendered his resignation from sitting on Dino Polska's Supervisory Board citing personal reasons as the justification for this decision.

The Group consists of Dino Polska S.A. and the following subsidiaries:



5.3. Seasonality and business cycles

Sales revenues and financial results reported in individual quarters reflect the seasonality of sales. The Group posts increased sales revenues in the period close to holidays and in the summer. Moreover, Dino Group's revenues also depend on the number of store openings, which in the winter, especially in the first quarter of the year, is lower than in the remaining quarters of the year, in particular lower than in Q3 and Q4, because of the weather conditions hindering construction work.

5.4. Other information

Non-recurring amounts and events

The epidemiological situation was an atypical event that transpired in the Dino Group's business in the period from 1 January 2021 to 31 March 2021. In connection with this situation the Company has been applying a rigorous sanitary regime in all its areas of activity, especially in the Dino store network, the distribution centers and in its production plant. The Company monitors the epidemiological situation and its impact on its business on an ongoing basis. As at the Report date all of the operating areas of the Company are operating efficiently and there are no reasons to revise the targets the Management Board has set for 2021.

Impairment losses

In the period covered by this report, the Group did not recognize any impairment losses for inventories.

Consolidated financial data for the period from 1 January 2021 to 31 March 2021

(PLN 000s)	31.03.2021	31.12.2020	Change
Impairment losses on receivables	273	443	(170)

Unconsolidated financial data for the period from 1 January 2021 to 31 March 2021

(PLN 000s)	31.03.2021	31.12.2020	Change
Impairment losses on receivables	205	375	(170)

Information on the recognition, increase, use and reversal of provisions

Consolidated financial data for the period from 1 January 2021 to 31 March 2021

(PLN 000s)	31.03.2021	31.12.2020	Change
Deferred tax liability	21,681	6,555	15,126
Provision for pension and similar benefits	4,176	4,176	-
	25,857	10,731	15,126

Unconsolidated financial data for the period from 1 January 2021 to 31 March 2021

(PLN 000s)	31.03.2021	31.12.2020	Change
Deferred tax liability	65,917	47,916	18,001
Provision for pension and similar benefits	3,757	3,757	-
	69,674	51,673	18,001

Information on deferred tax liabilities and assets

Consolidated financial data
for the period from 1 January 2021 to 31 March 2021

(PLN 000s)	31.03.2021	31.12.2020	Change
Deferred tax liability	21,681	6,555	15,126
Deferred tax asset	20,546	20,738	(192)
			15,318

Unconsolidated financial data
for the period from 1 January 2021 to 31 March 2021

(PLN 000s)	31.03.2021	31.12.2020	Change
Deferred tax liability	65,917	47,916	18,001
Deferred tax asset	48,655	46,517	2,138
			15,863

Material purchase and sale transactions of property, plant and equipment

In the presented period, purchases related to the further expansion of the Dino Group store network and expansion of warehouse space as well as the purchases related to store and warehouse fit-outs constituted major transactions involving the purchase of property, plant and equipment. In the period from 1 January to 31 March 2021 the Group recorded for use non-current assets worth approximately PLN 299 million taking fixed assets under construction into account. The corresponding figure in Q1 2020 was roughly PLN 134 million.

Material obligations on account of property, plant and equipment purchases

As at the date of the financial statements, liabilities for property, plant and equipment purchases were related mainly to the purchase of construction services related to the ongoing rollout of the Dino Polska Group's store network. In total they were PLN 110,535 thousand. Investment commitments at the end of Q1 2020 were PLN 51,684 thousand.

Material litigation-related settlements

There were no significant court cases in the period from 1 January 2021 to 31 March 2021.

Correction of errors of previous periods

In the period covered by these statements, there were no corrections of errors of previous periods.

Changes in the economic situation and business conditions with material effect on the fair value of financial assets and financial liabilities

No occurrences covered by this item occurred in the reporting period.

Information on default on a loan or borrowing or breach of material provisions of loan or borrowing agreements

No occurrences covered by this item occurred in the reporting period.

Information on related party transactions

Related party transactions were routine in nature and concluded on an arm's length basis, at prices no different from the prices used in transactions between unrelated parties. Intra-Group transactions were eliminated in the consolidation process.

Information on changes in the fair value measurement methodology for financial instruments measured at fair value and changes in the classification of financial instruments

In this reporting period, no changes were made to the fair value measurement methodology and no changes were made to the classification of financial assets resulting from the change of purpose or use of such assets.

Information on the issue, redemption and repayment of non-equity and equity securities

No events referred to in this header occurred in the reporting period.

Information on dividend paid (or declared), in total and per share, for common and preference shares

During the reporting period, the Parent Company did not pay out any dividend.

Events taking place after the date of the quarterly condensed financial statements, which were not included in the statements but may materially affect the issuer's future financial results

By the date of these financial statements, no events occurred that may materially affect the Group's future financial results.

Information on changes in contingent liabilities or contingent assets that have taken place since the end of the previous financial year

No change in contingent assets was recorded in the reporting period. At the end of the reporting period the Group had contingent liabilities arising from concluded preliminary agreements in the amount of PLN 760,749 thousand (as at 31 December 2020: PLN 503,243 thousand).

Other information that can materially affect the assessment of the issuer's assets, financial position and financial result

No events other than the ones described above occurred in the reporting period that could materially affect the assessment of the Group's assets, financial position and financial result.

6. OTHER INFORMATION

Position of the Management Board on possibility of achieving the previously published financial performance forecasts

The Company's Management Board did not publish any forecasts for 2021.

Proceedings pending before courts or other competent bodies for the relevant proceedings

According to the Company's best knowledge, no material proceedings pertaining to liabilities or accounts receivable of Dino Polska or its subsidiaries are pending before a court, competent authority for an administrative proceeding or public administration authority.

Information on related party transactions

Both the Parent Company and its subsidiaries enter into transactions on the arm's length basis.

Sureties for loans and borrowings and guarantees extended by the issuer or its subsidiary if the total value of the outstanding sureties or guarantees is significant

No events referred to in this header occurred in the reporting period.

Other information

Up to the report's date of publication, no other material events occurred that would require disclosure.

SIGNATURES OF THE MANAGEMENT BOARD MEMBERS

Izabela Biadała – Management Board Member

Michał Krauze – Management Board Member

Michał Muskała – Management Board Member

Krotoszyn, 6 May 2021